

coming out of your pocket (savings of 25 percent + 6 percent = 31 percent; $\$100 - 31 \text{ percent} = \69). You'd save \$31 in federal and state income tax by reducing your income \$100.

You can also quickly calculate the real value of additional income, such as overtime, bonuses, or a second job, which will be taxed at your marginal tax rate. If your marginal federal tax rate is 25 percent, \$1,000 in extra income will net you around \$593.50 (7.65 percent for social security taxes [5.65 percent for 2011 and 2012], 25 percent for federal income taxes, and 6 percent for state income taxes for purposes of our example, for a total tax rate of 38.65 percent; $\$1,000 \times 38.65 \text{ percent} = \386.50 in taxes; $\$1,000 - \$386.50 = \$613.50$ net pay).